

Refund and Compensation Policy

Policy ID: REF-001 **Version:** 3.0 **Effective Date:** January 1, 2026
Owner: Customer Operations **Review Frequency:** Quarterly

1. Purpose

This policy defines when customers may qualify for refunds, partial refunds, credits, or other forms of compensation.

A delivery delay does not automatically qualify a customer for a refund.

Refund decisions must consider the reason for the request, order status, payment status, applicable return conditions, and any previous compensation.

2. Refund Categories

Refund requests are categorized as:

* Order cancellation * Delayed delivery * Lost shipment * Damaged product *
Incorrect product * Product return * Duplicate payment * Billing error * Service
failure

Each category has different eligibility requirements.

3. Delayed Delivery

A delayed delivery by itself does not automatically create a refund entitlement.

For delays:

0-4 Days Late

No automatic monetary compensation is authorized.

Support may explain the current delivery status and continue monitoring the shipment.

5-7 Days Late

The customer may request a review.

Support should:

1. Verify the shipment status. 2. Determine whether the carrier has provided an exception. 3. Check whether the order remains deliverable. 4. Review any previous compensation. 5. Escalate unusual cases.

A refund must not be promised before eligibility is confirmed.

More Than 7 Days Late

The case requires human review.

A logistics or customer operations specialist may determine whether the order qualifies for:

* Refund * Replacement * Store credit * Continued shipment monitoring

The automated agent may recommend escalation but may not independently approve a refund.

4. Lost Shipments

A shipment should not be declared lost solely because it is late.

Evidence that may support a lost-shipment investigation includes:

* Carrier confirmation. * Extended absence of tracking movement. * Carrier investigation result. * Confirmed delivery failure. * Internal fulfillment discrepancy.

Once a carrier or authorized operations specialist confirms that a shipment is lost, the customer may become eligible for a refund or replacement depending on the circumstances.

5. Damaged Products

Customers reporting damaged products should provide sufficient information for investigation.

Depending on the circumstances, support may request:

* Photographs. * Order information. * Product information. * Packaging information. * Delivery information.

A damaged-product case may qualify for:

* Replacement * Refund * Partial refund * Store credit

The appropriate resolution depends on the severity of the damage and product eligibility.

6. Incorrect Products

If the customer receives an incorrect product:

1. Verify the ordered product. 2. Verify the shipped product. 3. Determine whether the discrepancy resulted from fulfillment or customer selection. 4. Escalate when necessary.

Customers who received an incorrect product may qualify for a replacement or refund depending on inventory availability and operational review.

7. Order Cancellation

Cancellation eligibility depends on fulfillment status.

Orders that have not entered fulfillment may generally be cancelled according to the order cancellation procedure.

Orders already shipped cannot normally be treated as simple cancellations. They may instead need to follow the return or refusal-of-delivery process.

The automated agent must not claim that an order can be cancelled without checking its status.

8. Duplicate Charges

When a customer reports being charged twice:

1. Verify the order.
2. Verify the payment records.
3. Determine whether both charges are completed transactions or whether one is a temporary authorization.
4. Escalate unresolved discrepancies.

The automated system must not promise a refund before payment status has been verified.

9. Refund Processing

Once a refund has been approved by an authorized system or employee, processing time depends on the payment method.

Customer support should provide only verified processing information.

Do not promise an exact bank posting date unless supported by the payment system.

10. Previous Compensation

Before approving or recommending additional compensation, the system should check whether compensation has already been provided for the same incident.

Multiple compensation requests for the same issue require human review.

11. Automated Agent Restrictions

The automated agent may:

* Explain refund policy. * Determine potential eligibility. * Recommend human review. * Retrieve relevant policy sections. * Draft a customer response.

The automated agent may not:

- * Approve a refund. * Issue monetary compensation. * Change payment records.
- * Promise a refund. * Guarantee a refund amount.

12. Escalation

Human review is required when:

- * Eligibility is ambiguous. * The shipment may be lost. * The customer requests an exception. * The customer has already received compensation. * A refund amount is disputed. * Payment records conflict. * The order has exceptional circumstances.

13. Decision Principle

Refund decisions should be based on verified order and payment information together with the applicable policy.

When policy eligibility cannot be established confidently, escalate rather than assume.